STEP
ADVISING FAMILIES ACROSS GENERATIONS

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STEP Advanced Certificate in Company Law and Practice

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Module 1:

An Introduction to Company Law and Practice

Hello and welcome. If you're working in private banking, trust services or wealth management, you'll know that offshore companies are often central to the structures we use to manage client assets. And that means understanding how those companies work – both legally and practically. In this session we'll briefly discuss how offshore companies and trusts interact in wealth management, and why it's important to understand company law and administration.

Over the last few decades, private banking has evolved rapidly. Offshore financial centres became popular, especially from the 1970s onwards, as high-net-worth individuals looked for ways to hold and manage their wealth. The result? A rise in structures that combine trusts with underlying companies. You might hear this called the 'trust and company combo'.

Here's how it works. A settlor transfers assets to a trustee. The trustee then moves those assets into a company – often by way of a loan or in exchange for shares. That company becomes the legal owner of the assets in the structure and handles the day-to-day activities relating to those assets, including investment activity. So, while the trust holds the shares in the underlying company, it's the company that's buying and selling securities, collecting dividends, and managing the portfolio.

This means that anyone managing a trust also needs to understand how to manage a company. You need to be familiar with the terminology, the procedures and the legal framework that governs these entities.

Now, this course has two main goals. First, it introduces you to the legal rules that regulate companies. Second, it aims to guide you in the practical side of company administration.

Let's talk about the legal framework. A company is not just a private agreement like a partnership. It's a creature of statute. To benefit from limited liability and separate legal personality, a company must comply with the legislation of the jurisdiction where it's incorporated. But legislation is only part of the picture.

Each company also has its own constitution – its memorandum and articles of association. These documents provide the 'public face' of the company and also set out the company's internal rules. So, when you're managing a company and a question comes up about powers or procedures, the answer will usually be found in one of two places: the legislation or the company's own documents.

Company law often includes permissive and presumptive rules. That means companies can opt in or out of certain provisions. For example, a law might say that directors 'may' do something if authorised by the articles. Or it might say that directors 'shall' do something unless the articles say otherwise. This flexibility means that no two companies are exactly alike – even in the same jurisdiction.

As you will appreciate, company law varies between jurisdictions. The materials in this course focus on general principles and encourage you to refer to the legislation which applies in your jurisdiction, or in jurisdictions which you have a connection with. You are also provided with a range of specimen documents which are intended to supplement your learning and help demonstrate a variety of practical issues connected to company administration. We encourage you to look at the corporate documents which you use in your practice.

Module 2.1:

The Evolution of the Company – From Sole Traders to Statute

Welcome back, and let's dive right in. In this session we're going to look at the origins and development of the modern company. It's a journey that takes us from medieval England to the landmark Companies Act of 1948.

Let's start with the basics. What is a company?

Traditionally, a company is defined as a group of people who come together to pursue a common goal, usually involving trade or business for profit. But that definition doesn't quite fit the offshore companies we often deal with today. Many of these are owned by a single person, don't trade in the conventional sense and exist for reasons like asset protection or asset holding. Still, the legal structure – the idea of a company as a separate legal entity – remains central.

Before companies, business was conducted by sole traders. These were individuals who owned all the assets, made all the decisions and bore all the risks. The problem? They couldn't share risk or raise capital beyond their own wealth. Having said that, many individuals are very happy to conduct business as a sole trader, but for some it makes sense to conduct business with others, which is where partnerships came in.

Partnerships allow two or more people to pool resources, conduct business together and share profits. But they had their own limitations. Transferring a partner's interest was tricky, and raising capital from the public wasn't really an option. Plus, partnerships didn't initially have a separate legal personality – they couldn't own property or enter contracts in their own name and the death of one of the partners often meant the partnership had to be terminated.

So, how did we get from partnerships to companies?

In the 16th century, England's merchant fleet was expanding and merchants began forming companies to trade in specific commodities. These weren't companies in the modern sense – they were more like associations and had to apply for a Royal Charter – but the idea evolved. The East India Company, for example, was granted a Royal Charter in 1600 and started trading with members investing capital and receiving stock.

But then came the South Sea Bubble.

In 1720, the South Sea Company collapsed after a frenzy of speculative investment. The fallout was huge – fraud, financial ruin and political scandal. Parliament responded with the Bubble Act, which didn't regulate companies but banned them outright, setting back company law for over a century.

During the Industrial Revolution in England, the need for capital-intensive ventures like building railways and factories made the limitations of partnerships painfully clear. Entrepreneurs needed a legal structure that could raise money from the public.

Enter the Joint Stock Companies Act of 1844. Despite how long ago this was, it was the forerunner of the modern companies' legislation which is in place today. The 1844 Act allowed companies to incorporate by registration, gave them a separate legal personality and made shares freely transferable. But it didn't yet offer limited liability.

That came in 1855, with the Limited Liability Act. Now, shareholders weren't personally liable for company debts – a game-changer for raising capital and investment in companies. Critics worried this would encourage reckless trading, but the economic benefits won out.

By 1907, the law recognised that not all companies needed the same level of regulation. The English Companies Act of that year introduced the distinction between public and private companies. Private companies could avoid some of the more burdensome requirements, like publishing accounts or holding formal meetings, if authorised by their articles.

And finally, before we consider the development of company law in offshore centres, we arrive at the Companies Act 1948 – a cornerstone of modern company law. It consolidated earlier English legislation and became the model for many offshore jurisdictions. Much of offshore company law is built on the foundations laid by the 1948 Act.

So, in summary, from sole traders to partnerships, through bubbles and reform, the company has evolved into a flexible legal structure that underpins global commerce. Understanding this evolution helps us appreciate the principles behind the rules we work with every day.

There's a lot to take in there, so please feel free to listen again.

Module 2.2:

Offshore Company Law – From English Roots to Global Practice

Welcome back. Today we're exploring how modern offshore company law developed – and how it has been shaped by English legislation, particularly the Companies Act of 1948.

Why the 1948 Act? Because it codified the principles of incorporation, limited liability, share capital and internal governance in a way that was clear, practical and exportable. Offshore jurisdictions saw the value in adopting a framework that was already tried and tested in England.

But they didn't just copy it. They adapted it.

Take the British Virgin Islands, for example. Their Business Companies Act of 2004 has elements which are inspired by the English model but includes modern features like flexibility in share structures, simplified filing requirements, and streamlined procedures for incorporation and dissolution. It's designed to meet the needs of international clients – not just domestic businesses.

The same goes for other centres such as Bermuda, the Cayman Islands, Jersey, Guernsey and the Isle of Man. Each has taken the core principles of English company law and tailored them to suit their own environments and commercial priorities.

One of the key improvements that offshore jurisdictions have made is simplification. The English Companies Act 2006 did a lot to modernise company law, especially for private companies. Offshore centres have gone even further. Many have removed the distinction between public and private companies altogether, allowing for more flexible structures. Others have abolished the requirement for par value shares or authorised capital, making it easier to fund companies and to make distributions.

Another area of innovation is the treatment of corporate capacity. The old ultra vires doctrine – which limited companies to activities listed in their objects clause – has been reformed or repealed in most offshore jurisdictions. Some follow the English 1985 model, where contracts outside the objects clause are still valid if entered into in good faith. Others follow the 1989 model, removing the good faith requirement. And some, like Jersey and the Isle of Man for certain companies, have abolished the doctrine entirely, giving companies unrestricted capacity by default.

So while the offshore jurisdictions owe a lot to English company law, they've also moved beyond it. They've created legal frameworks that are more responsive to the needs of international business, wealth management and asset protection.

The result is a blend of tradition and innovation – a legal structure that's familiar to practitioners trained in English law, but flexible enough to meet the demands of a global client base.

Module 2.3:

The Key Features of a Company

Hello and welcome. Today we're looking at the core features of a company – the legal characteristics that make a company such a powerful and flexible structure.

Let's begin with the idea of separate legal personality. When a company is incorporated, it becomes a legal entity in its own right. That means it can own property, enter into contracts, sue and be sued – all in its own name. It's not just an extension of its shareholders. It's a distinct legal person. This principle was famously confirmed in the case of Salomon v Salomon (1897) and has become one of the cornerstones of modern company law.

Another key feature is limited liability. If a company has limited liability, it means that the shareholders will not be responsible for the company's debts. Their liability is limited to the amount they've agreed to invest – either by paying for their shares or by guaranteeing a fixed sum in the event of winding-up. This protection encourages investment because people can support a business without risking their personal assets.

Another key feature is corporate ownership of assets. The property of the company doesn't belong to the shareholders or directors. It belongs to the company itself. That means changes in ownership – like a shareholder selling their shares or a director stepping down – don't affect the company's assets. The company continues to own and manage its property regardless of who's involved.

And that leads us to perpetual succession. A company doesn't die when its shareholders do. It doesn't dissolve when directors resign. It continues to exist until it's formally wound up. This continuity is especially useful for long-term planning, estate management and investment structures.

Ownership in a company is also transferable – shares can be sold, gifted or inherited. In a public company, they're traded freely on the stock market. In a private company, there are likely to be restrictions – like pre-emption rights or board approval – but the principle remains. Ownership can change without disrupting the business.

Finally, there's the separation of ownership from management and control. Shareholders own the company, but they don't run it. That responsibility is delegated to the directors. The directors make day-to-day decisions, while shareholders usually retain strategic powers like amending the constitution or appointing new directors. This division allows professionals to manage the business while investors focus on returns.

Together, these features make companies an important tool in wealth management and financial planning.

Module 2.4:

Offshore Companies – Purpose, Practice and Planning

Hi there, and thanks for being here. In this session we're looking at the use of offshore companies and why they've become such a central feature in international financial planning.

Let's start with what offshore companies are typically used for. Unlike traditional trading companies, offshore entities are often formed not to run a business in the conventional sense, but to hold and manage assets. These might include real estate, shares, intellectual property or other investments. In many cases, the company doesn't even pursue profit in the usual way. Instead, it's part of a structure designed to achieve goals like asset protection, confidentiality, estate planning or tax efficiency.

In that sense, offshore companies could be said to resemble trusts. Both are vehicles for holding assets on behalf of others. But the legal regime is entirely different. Trusts are governed by common law and equity, while companies are creatures of statute. That distinction matters when it comes to how each structure is managed.

One of the reasons offshore companies are so popular is due to their simplicity. Many are private, with a single shareholder and a single director, often provided by a corporate service provider with one or two beneficial owners. They're not burdened by the complex compliance requirements that apply to public companies onshore. Offshore legislation is often streamlined to reflect this reality.

For example, offshore companies may be allowed to have sole or corporate directors. They can operate with a single shareholder. They might be exempt from audit requirements or the formal presentation of accounts. Written resolutions can replace formal meetings. Funding and distributions are often streamlined and voluntary winding-up procedures are often simplified.

These features make offshore companies flexible and cost-effective. But there's more to it than convenience – offshore entities also offer confidentiality. While global standards around transparency are tightening, many jurisdictions still provide a level of privacy that's attractive to high-net-worth individuals.

Tax planning is another key driver. Offshore companies are often used to hold foreign assets in jurisdictions where they won't be subject to local corporate tax. This is especially relevant in places where the distinction between resident and non-resident companies still exists. In these cases, international business companies – or IBCs – are structured specifically to operate outside the local economy and benefit from tax exemptions.

It's important to note that the use of offshore companies isn't limited to individuals. They're also used by trustees, private bankers and other service providers to manage client assets. In fact, many trust companies hold dual licences – one for trust services and another for company management – so they can offer both structures as part of a broader financial planning strategy.

Ultimately, the offshore company is a versatile tool. It's not just a legal entity – it's a planning device. And understanding how and why it's used is essential for anyone working in the offshore environment.

Module 3.1:

Promoters – The Architects of Incorporation

Hello again, and welcome back. In this session we're looking at the role of promoters in the traditional incorporation process – who they are, what they do and the duties they owe to the company they help create.

Before a company is incorporated, it doesn't exist. It has no legal personality, no assets, no structure. Someone has to bring it into being. That person is the promoter.

In traditional company law, the promoter is the individual who forms the business plan, arranges the initial capital, lines up professionals to assist with incorporation and negotiates any preliminary contracts. They're the ones who get the company off the ground.

Historically, promoters played a central role in public companies. They might acquire assets, sell them to the company and take shares in return. But this role came with risks. In the 19th century, there were some notorious abuses – promoters making secret profits at the company's expense, often at the cost of unsuspecting investors.

To deal with this, the common law imposed a fiduciary duty on promoters. That means they must act in good faith and disclose any profit they make from the incorporation process. If they buy an asset for one price and sell it to the company for more, they must be transparent. Failure to disclose is a breach of their duty.

Let's say a promoter buys land for $1 million and sells it to the company for $2 million. That's fine – but only if the company's board, or its shareholders, are fully informed and agree. If the promoter keeps the profit secret, the company can take action. It might rescind the contract, demand the profit be handed over or sue for compensation.

This duty applies even if the promoter is the majority shareholder. Disclosure must be made to the company itself – either to an independent board or to the shareholders, especially if the company is about to go public.

Now, what about offshore companies?

In the offshore world, things are a little different. Public companies are rare, and most offshore entities are private companies, often with a single beneficial owner. In this context, the promoter is usually the client, the beneficial owner – the person instructing the formation of the company. They're not usually selling assets to the company or seeking investment from the public. So, the risk of abuse is minimal. After all, a promoter who owns the company would only be defrauding themselves.

Even so, the duty to disclose still applies. If a promoter makes a profit from the incorporation process and intends to sell their shares or bring in outside investors, they must be transparent. And what about expenses?

At common law, a promoter isn't automatically entitled to recover the costs of incorporation. But many companies include a provision in their articles allowing directors, after incorporation, to reimburse expenses properly incurred in promoting and registering the company. This is especially relevant onshore, where incorporation costs might be treated as deductible business expenses.

In summary, the promoter plays a vital role in bringing a company into existence, but with that role comes responsibility. The duty to disclose profits and act in good faith is central to maintaining trust in the incorporation process – whether onshore or offshore.

Module 3.2:

Pre-Incorporation Contracts

Welcome back. In this session we're exploring the legal treatment of pre-incorporation contracts – those agreements made on behalf of a company before it legally exists.

Let's start with the traditional position under common law. Before a company is incorporated, it has no legal personality. It can't enter into contracts, own property or be sued. So, if someone – usually a promoter – signs a contract on behalf of a company that hasn't yet been formed, that contract is unenforceable by or against the company. The company simply doesn't exist in law.

That means the promoter is personally liable. If the company is later formed and the contract hasn't been replaced, the promoter remains responsible. Under common law the company can't ratify the contract after incorporation because it wasn't a party to it in the first place. Ratification requires an existing principal – and before incorporation, there isn't one.

So, how do you fix this?

Traditionally, the solution was novation – this is where the company, once incorporated, enters into a new contract with the other party, replacing the original agreement. It's a fresh contract, and it requires the consent of all parties – the company, the promoter and the original counterparty. Once that's done, the promoter is released from liability, and the company becomes bound.

But modern companies' legislation has moved beyond novation. In many offshore jurisdictions, the law now allows a company to adopt a pre-incorporation contract by ratification. That means the company, once formed, can simply pass a board resolution confirming that it accepts the terms of the earlier agreement. There's no need for a new contract and no need for the other party's consent.

Once ratified, the company becomes liable under the contract, and the promoter is discharged provided this is confirmed by the board of directors. This approach is more efficient and reflects the practical realities of offshore company formation, where timing and flexibility are often critical.

Of course, whether ratification is permitted depends on the jurisdiction. Some offshore centres have adopted statutory provisions that expressly allow it whereas others may still rely on novation. Either way, it's important to check the local law and ensure the correct procedure is followed.

In practice, if you're forming a company and need to enter into a contract before incorporation, it's best to be cautious. Make sure the contract is clearly drafted, identify who is signing and in what capacity, and be ready to ratify or novate once the company is formed.

Module 3.3:

Incorporation – A Possible Step-by-Step Guide

Hello again, and welcome. In this session we're walking through the process of incorporating a company, particularly in an offshore context. While the details vary slightly between jurisdictions, the broad steps are consistent across most common law financial centres.

It all begins with instructions. A corporate service provider receives instructions from the client – the beneficial owner – or their advisers. This might happen in person, over the phone or in writing. The goal at this stage is to gather all the necessary information to incorporate the company and to meet due diligence requirements under AML, FATCA and CRS regulations.

To make sure nothing is missed, service providers usually complete a New Company Questionnaire. This is a checklist that captures the essentials: the proposed name, type of company, jurisdiction, share structure, directors and so on. It's also a chance to discuss with the client basic corporate principles and agree the fees.

Once the instructions are clear, the next step is to decide on the type of company. Will it be private or public? Limited by shares or by guarantee? Resident or non-resident? These decisions affect the company's structure and the content of its constitutive documents.

Then comes name approval. The proposed name must be checked with the registrar to ensure it's available and appropriate. Some jurisdictions allow online checks whereas others require formal applications. Certain words – like 'bank', 'trust' or 'insurance' – may be restricted or require special consent.

With the name approved, the service provider prepares the company's constitution documents. That means drafting the memorandum and articles of association. These documents set out the company's name, registered office, liability of members, share capital and internal rules. Many firms use standard templates, sometimes with minor amendments to suit the client's needs.

The final step is to submit the incorporation documents. This usually includes an application form, the memorandum and articles, and a declaration or certificate of compliance, alongside the fees for the registrar. The registrar reviews the submission and, if everything is in order, issues a certificate of incorporation. At that point, the company legally exists and can start its activities.

Module 3.4:

After Incorporation – What Happens Next?

Hello again. It's good to have you here. In this session we will be exploring what happens after a company has been incorporated. The legal process might be complete, but the practical work is just beginning.

Once the certificate of incorporation is issued, the company officially exists, but it still needs to be organised and activated. This starts with creating the corporate records. These include the statutory registers – the register of members, register of directors, register of officers and, in many jurisdictions, the register of beneficial owners. These records are usually kept at the company's registered office and may need to be filed with the registrar. If the company has created any mortgages or charges over its assets, a register of charges may also be required.

Next, the company's name should be displayed at its registered office. This is a statutory requirement in many jurisdictions, although some have relaxed the rules. In practice, service providers often use electronic boards in reception areas to list the names of companies sharing the same address, or a printed list of names.

If required, corporate stationery should also be prepared which might include letterheads, invoices and other documents that identify the company. Again, the requirements vary, but it's good practice to ensure the company's name appears clearly on all official communications.

The first directors are also appointed, with the process and requirements varying between jurisdictions. In many offshore centres the first directors are appointed by the subscribers. In others it might be the registered agent who appoints, or perhaps the first directors are the ones who consented to be appointed.

Once the directors have been appointed, the board will hold its initial meeting. However, as we will discuss later, sometimes a written resolution is used instead of a meeting.

At the initial meeting, the directors will usually confirm the company's incorporation and conduct a range of business, such as adopting the company seal, if one is required, appointing officers, such as the company secretary, appointing agents such as investment managers, and opening a bank account.

The directors will also fix the company's financial year end. This determines the accounting reference date and sets the timetable for preparing financial statements.

Subscriber shares are confirmed and share certificates may be issued. If the subscribers are nominees, the shares may be transferred to the beneficial owner or held on trust. The register of members is updated accordingly.

If additional shares are to be issued, the board will pass a resolution to allot and issue them. The register of members and, if applicable, the register of beneficial owners are updated. Share certificates are prepared and delivered, unless the articles state that certificates are not required.

Although traditionally these matters were dealt with at the first directors' meeting, many offshore service providers will instead arrange for a directors' written resolution to be prepared and signed covering all of the initial business, as this can be easier and less time consuming.

Module 4.1:

Registration of a Foreign Company

Hello and thanks for joining. In this session we're discussing a topic that often crops up in offshore company management – the registration of a foreign company.

So, what does this actually mean?

Well, let's say a company is incorporated in one jurisdiction – we'll call it State A. Now, that company wants to carry on business in another jurisdiction – State B. Instead of setting up a brand-new subsidiary in State B, the company might choose to register itself as a foreign company there. This is known as registration and it's a way for the company to operate in State B without having to incorporate a separate legal entity.

Why would a company do this?

Well, it's often about simplicity and efficiency. Registering as a foreign company allows the business to expand into a new jurisdiction while keeping its original corporate identity. It also ensures that the company complies with the local laws and regulations of the new jurisdiction. This is important because it prevents companies from sidestepping local compliance requirements by operating from abroad.

But how do we know when a company needs to register or is able to register?

It all comes down to whether the company has established a 'place of business' in the new jurisdiction. That's not just about doing business – it's about having a physical presence. Think of an office, staff on the ground and business activity that's ongoing. It's a question of fact, and it's something regulators look at closely.

Once it's clear that a company has established a place of business, registration might become a legal requirement. For companies that want to register in another location, establishing a place of business in the other location is a must.

To do so, the company will need to submit an application to the registrar of companies in the new jurisdiction. That application usually includes a certified copy of the company's memorandum and articles, its certificate of incorporation, and details of its directors and officers.

There's also a key role for someone called the 'authorised representative' – sometimes referred to as the authorised agent. This person must be resident in the jurisdiction where the company is registering, and they're responsible for accepting legal documents on behalf of the company. In other words, they're the local point of contact for the courts and regulators.

Once the registrar is satisfied that everything's in order, the company is entered onto the Register of Foreign Companies and issued a certificate of registration. From that point on, it's officially recognised in the jurisdiction and can operate its business there.

It's worth noting that in some jurisdictions – particularly those with international business company (IBC) legislation – foreign companies can't register if they intend to carry on business locally. That's because IBCs are designed for offshore activity only. But there are exceptions, like in the British Virgin Islands, where the rules are more flexible.

So, to sum up, registration of a foreign company is a practical and legal mechanism that allows a company to expand into a new jurisdiction while maintaining its original corporate identity. It's a useful alternative to setting up a subsidiary, but it comes with its own set of requirements, and it's essential to get those right.

Module 4.2:

Migration of Companies

Hello again, and welcome back. In this session we'll be talking about the migration – or re-domiciliation – of companies. It's a concept that doesn't exist under traditional common law, but it's becoming increasingly available in many offshore financial centres.

Under English law, for example, a company incorporated in the UK can't migrate to another jurisdiction. It can't re-register in another country, and the UK won't accept incoming companies either. That's a hard boundary. But offshore jurisdictions have taken a more flexible approach.

So, what does migration mean in this context?

Migration is the process by which a company incorporated in one jurisdiction – let's call it State A – moves its legal domicile to another jurisdiction, State B. The company de-registers in State A and continues its existence in State B under the laws of that new jurisdiction. It's not a new company – it's the same legal entity, just operating under a different legal framework.

But why might a client want to do this?

There are several reasons. They might be looking for a more favourable regulatory environment, or a more modern law, or a jurisdiction with simpler compliance requirements. It could be about tax efficiency or access to new markets. Sometimes it's about consolidating group structures or aligning with the jurisdiction where the company is actually managed and controlled.

Migration also offers continuity – that's the key benefit. The company doesn't need to wind up, transfer assets or renegotiate contracts. It simply continues – but under a new legal regime.

Now, what does the process usually involve?

First, the company needs to be authorised to migrate under the laws of its original jurisdiction. That means it must be allowed to de-register and transfer its domicile. Then, it must comply with the requirements of the new jurisdiction – the one it's migrating to.

Typically, the company will need to submit a resolution from its shareholders approving the migration. It will also need to provide certified copies of its memorandum and articles, evidence of incorporation, and proof that it's in good standing. Most jurisdictions also require confirmation that the company is solvent to ensure it's not trying to escape its creditors.

In some cases, like in the British Virgin Islands, the company must give notice to its members and creditors before migrating as part of a transparency requirement.

Once the registrar in the new jurisdiction is satisfied, the company is then issued a certificate of continuation. From that point on, it's governed by the laws of the new jurisdiction. Its contracts, assets and liabilities all remain intact. It's the same company, just with a new legal home.

In summary, migration is a powerful tool for clients who want flexibility and efficiency, and many offshore centres have embraced it as part of their strategy to attract international business. For company administrators, understanding the process and its legal implications is important.

Module 5:

The Constitution of a Company

Welcome. It's good to have you here as we take a closer look at the constitution of a company, a term that refers to the documents and rules that govern how a company operates – both internally and externally.

Traditionally, the constitution consists of two key documents: the memorandum of association and the articles of association. These documents work together to define the company's structure, powers and procedures.

The memorandum sets out the company's external framework. It includes the company's name, its registered office, the liability of its members, the objects of the company and details of its share capital. These clauses are important because they establish the company's legal identity and its capacity to act.

One clause that used to be particularly significant was the objects clause. This defined what the company was allowed to do. Under the old ultra vires doctrine, if a company acted outside its stated objects, the act was void. That meant contracts could be unenforceable – even if both parties had agreed to them. The classic case here is ***Ashbury Railway Carriage and Iron Co Ltd v Riche***, where the company tried to build a railway in Belgium, but the court held the contract was void because it wasn't within the company's stated objects.

This doctrine caused problems – it was a trap for third parties and a headache for companies trying to expand. So, modern legislation has reformed it. In many jurisdictions now, companies have unrestricted objects unless they choose to limit them. If they do include an objects clause, it still matters – but most companies opt for broad wording like 'the company may engage in any lawful activity'.

If a company does want to change its memorandum – say, to alter its name or objects – it usually needs a special resolution of the shareholders. That was certainly the case under company laws based on the English 1948 Act, which required a supermajority vote. In some offshore jurisdictions, though, the rules are more relaxed. Directors may be authorised to make certain changes themselves, depending on what the articles allow.

Now, let's turn to the articles of association. These govern the internal workings of the company. They set out rules about share capital, shareholder meetings, the appointment and powers of directors, distributions, and procedures for winding-up.

Articles can be tailored to suit the company's needs, but it is possible in some jurisdictions for companies to adopt model articles – either in full or with amendments. These model articles, if permissible, are published as schedules to the companies legislation, although not all jurisdictions provide them. Offshore service providers often use standardised (in-house) articles across their client companies to keep things consistent.

If the company wants to amend its articles, the usual route under the 1948 Act provisions is a special resolution of the shareholders. Again, some jurisdictions allow directors to make changes if the articles give them that power. But there's a limit. Any amendment must be made in good faith and for the benefit of the company as a whole. If a majority shareholder tries to change the articles in a way that's unfair to the minority, the court can step in on behalf of the minority shareholder.

So, in summary, the constitution of a company provides a legal framework that defines how the company operates, what it can do and how decisions are made. Understanding how this process works – and how it can be changed – is essential for anyone involved in company administration. It is also vital that you understand what the memorandum and articles contain for the companies which you administer.

Module 6.1:

Equity Finance – What It Involves, How Shares Are Issued and Classes of Shares

Hello and thanks for joining. In this session we're considering equity finance, which is a core concept in company law and company administration.

So, what exactly is equity finance?

In simple terms, it's the process by which a company raises capital by selling shares. When someone buys a share, they're essentially buying a piece of ownership in the company. That money – the consideration paid for the share – becomes part of the company's capital, which it can then use to fund its operations or invest in assets.

Now, when a company is first incorporated, it doesn't have any capital. It has a legal identity, a structure and maybe a business plan, but no money. That's where equity finance comes in. The initial capital usually comes from the subscribers – the people who sign the memorandum of association. They agree to take at least one share each, and once the company is registered, they become its first shareholders. These are known as subscriber shares.

In practice, and especially so offshore, these subscribers are often nominee companies or employees of the service provider. They hold the shares on behalf of the beneficial owner – the real client. This setup helps maintain confidentiality and simplifies administration.

If the company wants to raise more capital later, it can issue additional shares. This is called a share allotment. The directors usually have the power to decide when and to whom shares are issued, and at what price. The price must be at least equal to the par value of the share – that's the nominal value for each share as stated in the company's memorandum. If the shares are sold for more than their par value, the extra amount is usually called the share premium.

Companies are not allowed to issue shares at a discount because that would dilute the capital and potentially harm creditors. In fact, issuing shares below par value is not just bad practice, it's a breach of company law in many jurisdictions.

Let's say a company issues 1,000 shares with a par value of $10 each, but sells them for $40. The $10 per share goes into the share capital account, and the remaining $30 per share – that's $30,000 in total – goes into the share premium account. These accounts are treated differently in the company's books, especially when it comes to making distributions to shareholders.

In our example, the company has an authorised capital of $10,000, but it doesn't have to issue all those shares at once. It can issue just a portion, depending on its needs.

So, why does it matter that share capital and share premium are calculated?

It is because these accounts are treated differently. The share capital is part of the company's core capital and is protected by the capital maintenance rules. It can't be used to pay dividends or returned to shareholders unless the company is wound up. The share premium is a bit more flexible, but it's still subject to restrictions depending on the jurisdiction. Under the 1948 Act, a company couldn't use its share premium to fund a dividend payment. But now, the share premium can be used in a number of offshore centres.

This structure was designed to protect creditors. If the company becomes insolvent, creditors should be able to rely on the capital that was raised through share issues. That's why it's so important to understand whether the capital maintenance principles apply to the companies which we administer and that we record the funds properly.

So, when shares are issued, it's not just about raising money. It's about allocating that money correctly, respecting the rules around par value and authorised capital, and ensuring the company's financial records reflect the true position. It's a fundamental part of company law and a key responsibility for anyone involved in company administration.

It's also important to note that not all shares are created equal. Companies can issue different classes of shares, each with its own set of rights. You might have ordinary shares that carry voting rights, preference shares that give priority when dividends are paid or non-voting shares that don't give the holder a say in company decisions. Some shares might even carry special rights on winding-up, giving their holders a better chance of recovering their investment if the company is dissolved.

In a private company with a single shareholder, there's usually no need for multiple classes of shares. That person owns everything and receives all the benefits. But in more complex structures – especially where family members or trustees are involved – different classes can help tailor the rights and responsibilities to suit the needs of the business or the estate plan.

So, to sum up, equity finance is about raising money by selling ownership in the company. Shares can be issued at incorporation, or later, and they can be structured in different ways depending on what the company and its owners need. Understanding how this works – and how it's regulated – is an essential aspect of company administration.

Thanks for listening. That's a lot of information to take in so, don't forget, you can always listen again if you like.

Module 6.2:

Borrowing and the Creation of Debt

Hello again. Let's talk about borrowing – what it means for a company, and how it fits into the broader picture of corporate finance.

When a company needs money to operate, it has two main options. It can raise capital by issuing shares or it can borrow. Borrowing means the company takes on debt, which it agrees to repay under specific terms. This might be through a bank loan, a bond issue or even a loan from one of its own shareholders.

Now, in the world of private companies – and especially in offshore centres – borrowing often comes from shareholders rather than external lenders. These shareholder loans are usually interest-free and repayable on demand. That means the shareholder can ask for the money back at any time, and the company is obliged to pay, assuming it has the funds.

It's important to understand that borrowed money is treated differently from share capital. When someone buys shares, the money they pay becomes part of the company's capital. That capital is subject to strict rules – the capital maintenance doctrine – which is designed to protect creditors. But borrowed money doesn't fall under those rules. It's a liability, not capital, and it sits on the company's balance sheet as a debt that must be repaid according to the loan agreement.

This distinction matters. If a company becomes insolvent, creditors – including those who've lent money to the company – must be paid before any capital is returned to shareholders. That's why loans are often seen as a safer way to fund a company, especially if the lender wants the option to get their money back quickly.

In practice, shareholder loans are often documented with a simple promissory note. It sets out the terms of the loan, confirms that it's repayable on demand, and may or may not include interest. If the shareholder wants their money back, they issue a demand for repayment, and the directors pass a resolution to repay the loan. It's a straightforward process, but it needs to be properly documented to avoid confusion or disputes later on.

There's also a tax angle to consider. If the beneficial owner of the company is also the lender, and they have control over the company's bank account, it can raise questions about tax residency and management control. That's why service providers often prefer to keep the client at arm's length when it comes to financial decisions, even if the client is the one funding the company.

So, in summary, borrowing gives a company flexibility. It allows it to access funds without diluting ownership, and it avoids the restrictions that come with share capital. But it also creates obligations. Debt must be repaid, and lenders – even if they're shareholders – have rights that need to be respected. Understanding how borrowing works, and how it differs from equity finance, is therefore essential for anyone managing or advising offshore companies.

Module 6.3:

The Transfer of Shares and the Steps Involved

Hello and welcome back. In this session we'll talk about how shares are transferred. It's a process that might seem straightforward, but there are several steps and checks involved to make sure everything is done properly, especially in relation to private companies.

Let's start by considering the process in a public company. Here, the first step is likely to be finding a willing buyer. A shareholder who wants to sell their shares might do so privately or with help from a broker. If the transfer is a gift, say to a family member, then there's no need for negotiation – the transferor and transferee already know each other.

However, in a private company shares are seldom sold and certainly not to the public. This is because there are restrictions concerning the transfer of shares in private companies as the ownership will usually be limited to one or a small number of shareholders who will often be connected to one another, possibly by a family connection.

Once the parties agree, they complete a share transfer form. This is a simple document signed by both the transferor and the transferee. It sets out the details of the shares being transferred and confirms the agreement between the two parties. If the shares are jointly held, both holders must sign. And if one of them has died, the death certificate is needed to confirm that the surviving holder now owns the shares.

The next step is delivering the signed transfer form to the company. This is usually done through the company secretary or the registered agent. At this point, the company checks whether there are any restrictions on the transfer. These are usually found in the articles of association.

Some companies require board approval before a transfer can go ahead whereas others give existing shareholders a right of pre-emption – this means the shares must be offered to them first before they can be offered to an outsider.

Assuming everything is in order, the board passes a resolution to approve the transfer. If the directors decide not to approve it, they must notify the transferee, usually within two months. Whether they need to give reasons depends on the jurisdiction, but it's generally good practice to do so.

Once approved, the company updates the register of members. The old shareholder's entry is marked as transferred, and the new shareholder's details are added. If the company keeps a register of beneficial ownership, that's updated too unless the transfer is between nominee shareholders and the beneficial ownership hasn't changed. The old share certificate is cancelled, and a new one is issued to the transferee. That is, of course, unless the company's articles say that certificates aren't required.

Transfers don't happen often in single-owner offshore companies, but they do come up. For example, if a client changes service providers, the nominee shareholder might need to transfer the shares to a new nominee. Or, if a trustee is replaced, the shares held by the outgoing trustee need to be transferred to the new one. Sometimes, if the company owns a single asset like a yacht or a property, it's easier to transfer the shares than the asset itself.

So, to summarise, while the process can be relatively simple, it's important to follow each step carefully. This ensures the transfer is valid, the company records are accurate and everyone involved knows where they stand.

Module 6.4:

Transmission of Shares

Good to have you back with us as we take a moment to explore what happens when shares are transmitted rather than transferred. It's a subtle distinction, but an important one in company law.

A transfer of shares is a voluntary act – a shareholder decides to sell or gift their shares, and the process is carried out between the transferor and the transferee. Transmission, on the other hand, happens by operation of law. It's not a choice but is instead triggered by events like death or bankruptcy.

When a shareholder dies, their shares don't just vanish. The rights attached to those shares pass to the deceased's personal representative. That person will usually apply to the probate court for a grant of probate or similar document if the deceased does not leave a valid Will, which confirms their authority to deal with the estate. Once they have that, they can approach the company and ask to be registered as the new shareholder.

Alternatively, if the personal representative doesn't want to be registered themselves, the shares can be registered directly in the heir's or beneficiary's name. In that case, they'd need to complete a share transfer form, just as if they were transferring the shares voluntarily, but they'll sign it in their capacity as personal representative.

The company then updates the register of members. The old shareholder's entry is closed, and the new shareholder's details are added. If the company maintains a register of beneficial ownership, that's updated too. The old share certificate is cancelled and a new one is issued, unless the articles say certificates aren't required.

Bankruptcy works in a similar way. If a shareholder is declared bankrupt, the court appoints a trustee in bankruptcy. That trustee takes control of the bankrupt's assets, including their shares. They'll present the court order to the company and ask to be registered as the new shareholder.

Now, in offshore practice, things are a little different. The registered shareholder is often a nominee – someone holding the shares on behalf of the real owner, the beneficial owner. So, if the beneficial owner dies or is made bankrupt, the nominee doesn't change – what changes is the person behind the nominee. In that case, the personal representative or trustee in bankruptcy might ask the nominee to transfer the shares to a new nominee, or they might simply update the nominee agreement to reflect the new beneficial owner.

In summary, the transmission of shares is one of those areas where legal form and practical reality meet. It's not just about updating a register – it's about recognising the rights of those who inherit or take control of a shareholder's interest and making sure the company's records reflect that change.

Module 6.5:

Distributions to Shareholders – The Traditional Approach

Welcome back. In this session we'll look at how companies traditionally distribute profits to shareholders, and the legal framework that governs this process under common law.

In a typical company, the power to declare dividends is shared between the directors and the shareholders. The directors recommend a dividend, and the shareholders, usually in an annual general meeting, declare it. But there's a catch: the shareholders can't declare a dividend that's higher than the amount recommended by the directors. So, it's a two-step process: first, a board resolution to recommend the dividend, and then a shareholder resolution to approve it.

Now, that sounds simple enough, but there's a deeper principle at play here – the capital maintenance doctrine. This doctrine is designed to protect creditors by ensuring that the capital introduced into the company by shareholders isn't depleted through distributions. In other words, dividends must be paid out of profits, not capital.

This principle was firmly established in the case of ***Flitcroft*** (1882). The court made it clear that companies must not pay dividends out of capital. This includes share capital and the share premium. Doing so would reduce the funds available to creditors and undermine the financial stability of the company. The idea is that capital is a reserve – a buffer – that should be preserved for the company's obligations.

So, what counts as profit?

Under common law, and under the capital maintenance doctrine (or CMD) , it's generally trading profit earned during the current financial year or retained earnings from previous years – unrealised gains don't qualify. However, a number of offshore centres have relaxed the CMD principles, as we shall see in the next session.

Module 6.6:

Offshore Funding and Flexible Distributions

Hello and welcome back to this series discussing equity, capital and distributions. In this final session we'll explore how offshore companies are typically funded, and how they make distributions to shareholders – especially under the more flexible regimes that have relaxed or even abolished the traditional capital maintenance doctrine.

In the offshore world, most asset-holding companies are funded in a very different way from their onshore counterparts. Instead of raising substantial share capital, they're often set up with a nominal amount – sometimes just one or two dollars. The real funding comes from shareholder loans. These loans are usually made by the beneficial owner, and they're often interest-free and repayable on demand.

This approach has a key advantage as loans aren't subject to capital maintenance rules. That means the company can repay the loan whenever the lender asks, without needing to worry about whether the repayment counts as a distribution or whether it affects the company's capital base. It's a clean, flexible way to move money in and out of the company.

Now, when it comes to dividends and other distributions, offshore jurisdictions have taken a more pragmatic approach. In many cases, the strict rules that apply onshore – where dividends can only be paid out of realised profits – have been relaxed. Some jurisdictions still preserve the distinction between share capital and share premium, but they allow distributions to be made from the share premium account. In older legislation, this might be called the capital surplus.

This is particularly useful for asset-holding companies. If the share capital is nominal, say two dollars, and the share premium account holds a million dollars, the directors can lawfully declare dividends up to that million-dollar figure – provided the company remains solvent.

And that's the key condition. Even in flexible jurisdictions, distributions from the share premium account are only allowed if the company passes a solvency test. That means its assets must exceed its liabilities, and it must be able to pay its debts as they fall due. The company directors usually certify this in the resolution authorising the distribution.

Some jurisdictions have gone even further. In places like the British Virgin Islands, the concept of capital has been completely replaced. There's no need to distinguish between capital and premium, or indeed to refer to dividends. A company can make distributions of any amount, in cash or in kind, as long as it's solvent before and after the distribution. The directors simply make a declaration of solvency, and the distribution goes ahead.

This flexibility is one of the key reasons why offshore companies are so popular for holding assets – it allows beneficial owners to inject funds when needed, and withdraw them when appropriate, without being constrained by rigid capital rules. So, to summarise, whether it's through dividends, loan repayments or other forms of distribution, the offshore model offers a streamlined and efficient way to manage corporate finances.

Module 7.1:

The Traditional Corporate Model and Corporate Governance

Welcome back to our series on company law and practice. In this session we'll look at how power is divided in a company, and how that structure reflects the traditional corporate model.

At the heart of the traditional model is a simple idea: ownership and control are separated. Shareholders own the company, but they don't run it. Instead, they appoint directors to manage the business on their behalf. This separation allows investors to contribute capital without needing to be involved in day-to-day decisions.

The directors form the board, and they're responsible for making strategic and operational decisions. They can buy and sell assets, enter into contracts, and generally run the company. Their authority comes from the articles of association, which set out the rules for how the company is governed.

But directors don't have unlimited power – company law and the articles reserve certain decisions for the shareholders. Under the Companies Act 1948 model, these usually include changes to the company's constitution, such as amending the memorandum or articles, altering the capital structure, or approving a voluntary winding-up. Shareholders also have the power to appoint and remove directors, approve accounts, and declare dividends, though they can't declare a dividend that hasn't been recommended by the board.

The balance of power is shaped by the articles. A common provision, based on Article 80 of Table A from the Companies Act 1948, says that the directors can exercise all powers of the company except those that must be exercised by the shareholders in a general meeting. That gives the board broad authority, but it also sets clear limits.

This model works well for large public companies, where shareholders are numerous and their involvement is often passive. They invest for returns, not to manage the business. Directors, on the other hand, are usually full-time executives with the expertise to run the company. This structure allows for continuity too – if a shareholder sells their shares, the management of the company carries on unaffected.

In offshore jurisdictions, the same model is often used, even though the companies are typically smaller and privately held. The articles are drafted to reflect this division of power, and the shareholders – often just one or two individuals or entities – retain ultimate control through their ability to amend the articles and appoint directors. However, many offshore centres allow the directors to make decisions which could only be made by shareholders under the 1948 Act.

So, to summarise, while the directors manage the company, the shareholders remain in charge of its constitution. It's a partnership of sorts, with each side playing a distinct role, and it's this balance that underpins corporate governance in the traditional model.

Module 7.2:

Appointment of Directors

Hello again. In this session we're going to look at how directors are appointed in a company, and explore how this process is shaped by both legislation and the company's articles of association.

When a company is first incorporated, the initial directors are usually appointed by the subscribers to the memorandum. This is often done by written resolution, and it's one of the first formal steps in getting the company up and running. The directors must give their consent to act, and their names are entered into the register of directors. In most jurisdictions, this information is also filed with the registrar, although it's not always made public.

After incorporation, the appointment of new directors depends on what the company's articles say. In older articles, based on the traditional Table A model, new directors are appointed by the shareholders in general meetings . If there's a casual vacancy – a director resigns or passes away, for example – the board can appoint someone to fill the role temporarily. However, that appointment usually needs to be confirmed by the shareholders at the next annual general meeting.

Modern articles tend to be more flexible – they often allow the board itself to appoint new directors. This makes it easier to manage the company day to day, especially in smaller or closely held companies where formal shareholder meetings might not be practical.

Now, in offshore practice, things can be a little different. The beneficial owner – the client – might want to be appointed as a director to have direct control over the company's affairs. That's understandable, but it raises some important issues.

The biggest concern is tax. If the client is managing and controlling the company from an onshore jurisdiction, the company could be treated as tax resident there. That might mean it becomes liable for corporation tax in the client's home country.

So, in summary, the process of appointing directors depends on legislation and a company's articles of association. Modern articles often provide more flexibility, but in offshore practice, if the beneficial owner takes on the role of director, it can raise tax issues.

Module 7.3:

Resignation, Removal and Disqualification of Directors

In this session we're going to talk about how directors leave office – whether by choice, by force or by law.

Directors don't have to hold office forever and there are several ways their role can come to an end. They might resign voluntarily, be removed by the shareholders or be disqualified under statutory provisions. The rules governing these exits are usually found in two places: the companies legislation and the company's articles of association.

Resignation is the most straightforward route – a director can choose to step down, and the articles typically set out how this should be done. It's usually a written notice, served on the board at the company's registered office. There might be a requirement for a notice period, or it might take effect immediately. Once the resignation is received, the board or shareholders will pass a resolution to accept it and update the company's records. If a director resigns there must be a suitable number of directors remaining in office to meet the minimum requirements.

Then there's vacating office with cause. This is where the articles go a bit deeper – a director may be forced to vacate their position if certain conditions arise. For example, if they're declared bankrupt or if they enter into a formal arrangement with creditors due to insolvency.

Another common trigger is disqualification by a court order. If a director is found to be unfit to act – perhaps due to misconduct or breach of duty – the regulator can apply to the court for a disqualification order. Once that's granted, the director is legally barred from holding office.

Removal of a director is a bit more political. Shareholders can remove a director by passing a resolution, usually at a general meeting. In many jurisdictions, this can be done without cause – meaning the shareholders don't need to justify their decision. The articles may require an ordinary resolution or, in some cases, a special resolution. It's important to check the company's constitution to see what level of approval is needed.

In offshore practice, especially with one-person companies, the process is often simplified. The articles may allow directors to be removed by a resolution of the board or by the shareholders, even if there is only one shareholder. This flexibility is useful in structures where control is concentrated, but it still needs to be documented properly.

Disqualification is the most serious route. It's not just about internal governance – it's a public interest issue. Regulators can take action if a director's conduct poses a risk to the integrity of the corporate system. Disqualification orders are a way of protecting the public, creditors and other stakeholders from individuals who have shown they can't be trusted with corporate responsibility.

So, in summary, whether it's a quiet resignation, a contested removal or a formal disqualification, the departure of a director can be a significant event. It affects the balance of power in the company, and it needs to be handled in line with both the law and the company's own rules.

Module 8.1:

Typical Powers of Directors

Great to see you, and welcome back. In this session, we're delving into the powers of directors – specifically, the typical powers they hold under a company's articles of association.

Let's start with the basics. In most companies, the board of directors is responsible for managing the day-to-day business. That power isn't just assumed – it's granted by the company's articles. You'll often see a general management power, which gives directors broad authority to run the company, but alongside that, there are usually more specific powers spelled out in the articles.

So, what kind of powers are we talking about?

First up, directors typically have the power to allot and issue shares. This means they can bring in capital by issuing new shares to investors. It's a key function, especially when the company needs funding to grow or restructure. The articles will usually set out the conditions under which this can happen – for example, whether shareholder approval is needed or if there are any pre-emption rights to consider.

Next, directors often have the power to borrow money. That includes issuing promissory notes or bonds, entering into loan agreements and even mortgaging company property as security. This is a significant responsibility, and it's one that can have long-term implications for the company's financial health.

Another typical power is the ability to make calls on unpaid or partly paid shares. If a shareholder hasn't paid the full amount for their shares, directors can demand payment. And if that payment isn't made, they can even forfeit the shares. Again, the articles will outline the process and any limitations.

Directors will also typically be given the power to appoint agents, such as investment or property managers, to help them manage and administer the company and its assets.

There are many more powers which could be granted, so please take the time to look at the specimen articles contained in the Appendices for more examples.

Now, while these powers are granted by the articles, directors aren't free to act without limits. The law imposes duties to keep things in check. Directors must act in good faith and with reasonable care and skill. That means they need to make decisions that are in the company's best interests and not their own. We will consider this in our next session.

It's also worth noting that the structure and composition of the board, and how it functions, are usually set out in the articles rather than in legislation. So, the company has a fair amount of flexibility in deciding how its directors operate.

To wrap up, the powers of directors are central to how a company functions. They're granted by the articles, exercised within the framework of fiduciary and statutory duties, and they cover everything from issuing shares to borrowing money and managing shareholder obligations.

Module 8.2:

Understanding Directors' Duties – Fiduciary Duty and Duty of Care

Thanks for joining me for another session. Today we're considering a key area of company administration that every practitioner needs to understand: the duties of directors. Specifically, we're looking at two core responsibilities – the fiduciary duty and the duty of care.

Let's start with the fiduciary duty. This is a concept rooted in equity, developed centuries ago in the English Court of Chancery. It's all about holding and managing assets for the benefit of others. Directors are in a position of trust, much like trustees, and they owe their loyalty to the company – not to themselves, not to shareholders individually and certainly not to third parties.

So, what does this mean in practice?

First, directors must act in good faith and in what they believe to be the best interests of the company. That's not just a vague principle – it's a legal obligation. If a director makes a decision that benefits themselves or someone else at the expense of the company, they're in breach of duty. Even if the company doesn't suffer a financial loss, the mere existence of a conflict of interest can be enough to trigger liability.

This leads us to the 'no-conflicts' rule. Directors must avoid situations where their personal interests could conflict with their duty to the company. Directors must also avoid self-dealing, which could occur if a director arranges for the company to buy property they personally own. In these cases, the transaction could be set aside, even if the price was fair.

There's also the 'no-profits' rule. Directors must not make a personal profit from their position unless the company has given informed consent. That means full disclosure – in writing – and prior approval. It's not enough to mention it casually or assume everyone knows what's going on.

And finally, there's the 'no-benefits' rule. Directors shouldn't accept gifts or benefits from third parties that relate to their role. That includes bribes, of course, but it also covers more subtle perks – like discounts or favours – that could influence their decision-making.

Now, let's turn to the duty of care.

This duty developed under common law and is now codified in many jurisdictions. It's about competence, not just honesty. Directors must exercise the care, diligence and skill that a reasonable person would apply in similar circumstances. That's an objective test – but it can also be flexible.

In the British Virgin Islands, for example, the law takes into account the nature of the company, the nature of the decision being made, and the director's role and responsibilities. So, the standard of care isn't fixed – it adjusts depending on the context. A director of a large trading company will be held to a different standard than a director of a small, passive asset-holding company. However, not all jurisdictions apply the same approach.

Importantly, directors don't need to be experts in everything. But they do need to understand the business they're managing, ask the right questions and seek professional advice when necessary. Ignorance is not a defence.

So, to summarise, the fiduciary duty is about loyalty and integrity, whereas the duty of care is about competence and diligence. Together, these two duties form the backbone of responsible corporate governance.

Module 8.3:

The Myth of the Nominee Director

Hello and thanks for joining us. In this session, we're talking about a concept that's often misunderstood in offshore company practice – the so-called nominee director.

Let's be clear from the outset: in law, there is no such thing as a nominee director. The term might be used informally, but legally, it has no standing. A director is a director. Once appointed, they owe duties to the company – not to the person who appointed them, not to the beneficial owner and not to any third party.

This is where things can get tricky for service providers. In offshore jurisdictions, it's common for firms to provide directors as part of their management services. But problems can arise when clients expect those directors to act as their puppets – to follow instructions without question and to rubber-stamp decisions that serve the client's interests rather than the company's.

That's not how it works – directors must act independently and in the best interests of the company. If they don't, they risk breaching their fiduciary duties. And if a service provider knowingly allows its directors to act under the control of a client, it becomes complicit. That's a serious risk – not just legally, but reputationally.

The articles of association can influence how much control shareholders have. If the company's articles are based on the old 1948 Table A, directors are expected to manage the company independently. But if the articles follow the 1985 Table A or the 2008 model articles, directors may be required to follow directions given by special resolution of the shareholders. Even then, those directions must be lawful and in line with the directors' duties.

The key point is this: service providers must not allow their directors to be treated as nominees. They are not there to take orders. They are there to manage the company responsibly. That means understanding the client's needs, yes, but it also means exercising independent judgement, asking questions and refusing to act if something doesn't feel right.

Clients can make recommendations. They can express preferences. But they must not give binding instructions, and service providers must be prepared to push back when necessary.

Ultimately, the relationship between the client and the directors should be built on mutual trust. The client must trust the integrity and professionalism of the directors, and the directors must be confident that they can act in the company's best interests without undue influence. That's how good governance works. And that's how service providers can reduce the risk of failing in their duties.

Module 8.4:

Remedies for Breach of Directors' Duties

Hello again. In this session we're going to talk about what happens when a director breaches their duties. Whether it's a breach of fiduciary duty or a failure to exercise reasonable care and skill, the law provides remedies – but they're not always straightforward.

If a director breaches their fiduciary duty, the company itself can take action. That's important to remember: it's the company – not individual shareholders – that has the right to sue. This is known as the proper plaintiff rule, established in the case of ***Foss v Harbottle***. So, unless the shareholders vote to pursue legal action, the company can't proceed. And, if the majority of shareholders don't support it, the director may escape liability altogether.

So, what can the company actually do?

First, it can set aside any transaction entered into with the director – or with someone connected to the director. That's assuming the other party wasn't acting in good faith without notice. If they were, the transaction might stand.

Second, the company can demand that the director hands over any undisclosed profits. If the director made money from a deal that wasn't properly disclosed, that profit belongs to the company.

Finally, the company can seek compensation. If the breach caused a loss, the director may be required to indemnify the company to cover the damage done.

When it comes to the duty of care and skill, the remedy is usually compensation. If a director's actions fall below the expected standard and the company suffers a loss, the director may be personally liable to reimburse the company.

But here's where things get more nuanced.

Directors can protect themselves. They might seek prior approval from shareholders before taking a risky action or they might ask for ratification after the fact. If shareholders approve or ratify the action – and if full disclosure has been made – the director is released from liability. That means the company, and even a liquidator in an insolvent winding-up, can't sue the director for that breach.

There are limits, though. If the director is also a majority shareholder, they could use their voting power to ratify their own misconduct. That's a problem because it undermines the whole idea of accountability. In those cases, courts may intervene – especially if the ratification is clearly self-serving or prejudicial to minority shareholders.

Directors might also rely on indemnity clauses in the company's articles or in their service agreements. In some jurisdictions these provisions would be unlawful. Directors might even be covered by indemnity insurance, which is usually compulsory in jurisdictions which regulate corporate services. But again, these protections only go so far. They don't excuse dishonesty and they don't override the fundamental duties owed to the company.

So, while remedies exist, they depend on context and on who's willing to take action. The law gives companies tools to hold directors accountable, but it also gives directors ways to protect themselves. The balance between those two can be difficult but corporate service providers must ensure that this balance is achieved.

Module 8.5:

Directors' Liability – Fraudulent vs Wrongful Trading

Hello and welcome back. In this session we're going to discuss a serious issue in company law – scenarios where directors can be held personally liable for company debts. This usually comes up when a company is insolvent and continues to trade. The law draws a line between two types of misconduct which we will cover today: fraudulent trading and wrongful trading.

Fraudulent trading is the more severe of the two. It's a criminal offence and it's based on intent. If a director continues to run the business knowing full well that the company is insolvent and that there's no realistic prospect of paying creditors, and they know that creditors will be defrauded, that's fraudulent trading. The key word is 'knowledge'. The director must subjectively recognise that the company can't pay its debts and yet still chooses to carry on trading regardless. That's what makes it fraudulent.

However, it can be difficult for a creditor to prove fraudulent trading. A wrongful trading claim, on the other hand, can be a much easier to prove.

Wrongful trading is a civil matter. It doesn't require proof of intent to defraud. Instead, it's about what a reasonable person would've done. If a director continues to trade when a reasonable person in their position would have realised that the company was insolvent and that creditors were unlikely to be paid, then they can be held liable for wrongful trading. It's a lower threshold and therefore easier to prove.

So, what's the practical difference?

With fraudulent trading, the focus is on the director's state of mind. Did they know? Were they dishonest? That's hard to prove, which is why successful claims are relatively rare.
With wrongful trading, the court looks at the facts objectively. Should the director have known? Did they act responsibly? If not, they may be ordered to contribute to the company's assets to help pay off its creditors.

This distinction matters because it affects how directors behave when a company is in financial trouble. If they ignore warning signs, fail to seek advice or continue trading in the hope that things will turn around, they could be crossing the line into wrongful trading. And if they knowingly mislead creditors or incur debts with no intention of paying them, they risk being accused of fraud.

For directors of offshore companies, the same principles apply. The law may vary slightly between jurisdictions, but the underlying duties are consistent. Directors must act responsibly, especially when the company is struggling. If they don't, they could face personal liability – and that's not something to take lightly.

Module 9.1:

The Company Secretary in Offshore Centres

Hi everyone, and welcome back to another episode of our Company Law and Practice series. In this session, we're diving into a role that used to be central to company administration but is now more of a supporting act – especially in offshore jurisdictions. We're talking about the company secretary.

Historically, the appointment of a company secretary was mandatory. This was especially true under older legislation like the 1948 Companies Act model, which influenced many offshore centres. The secretary was seen as the key administrative officer, responsible for maintaining statutory registers, filing returns, and ensuring compliance with corporate procedures.

But things have changed. In many offshore jurisdictions today, the appointment of a company secretary is optional. That's right – optional. For example, in places like the British Virgin Islands and the Bahamas, companies are no longer required to appoint a secretary. Instead, they must have a registered agent, which is a different role altogether. Even in the Cayman Islands, Guernsey and the Isle of Man, the secretary is not mandatory for most private companies.

So, why the shift?

Well, the answer lies in the rise of corporate service providers, or CSPs. These are firms that specialise in company management services. In offshore centres, CSPs often take on the administrative functions that would traditionally fall to the company secretary. They handle incorporations, maintain records, liaise with regulators and ensure compliance with local laws. In many cases, they even provide nominee directors and shareholders.

Because of this, the role of the company secretary has become somewhat redundant in private offshore companies. You might still see a secretary appointed – especially if the articles of association require it or if the company is structured to mirror onshore practices – but it's increasingly rare.

That said, some jurisdictions do still require a secretary. For example, in Bermuda, it's mandatory, and the secretary must be ordinarily resident in the jurisdiction. In Jersey, public companies must appoint a secretary who meets certain qualification requirements. And in Hong Kong and Singapore, the appointment of a company secretary remains a statutory requirement.

Where a secretary is appointed, they must be considered fit and proper by the board and have the necessary knowledge and experience to fulfil the role. Some jurisdictions even allow corporate secretaries, which means a CSP might set up a separate company to act in that capacity.

One important point to note is that, in jurisdictions that follow the 1948 Act model, it's unlawful for a sole director to also act as company secretary. This is a safeguard to prevent too much control being concentrated in one individual, which could pose risks to corporate governance.

So, while the company secretary used to be a fixture in company law, their role in offshore private companies has largely been absorbed by corporate service providers. You'll still encounter secretaries in some contexts, but don't be surprised if they're absent – especially in jurisdictions where CSPs are licensed to manage companies and perform those functions instead.

Module 9.2:

The Role of the Registered Agent in Offshore Centres

Hello and thanks for joining us as we explore a key figure in offshore company administration – the registered agent, also known in some jurisdictions as the authorised representative.

In many offshore financial centres, the registered agent plays a central role in the life of a company. If you're working with international business companies, or IBCs, you'll almost certainly encounter this role. And it's not just a formality – the registered agent is the official point of contact between the company and the jurisdiction in which it's incorporated.

So, what exactly does a registered agent do?

First, they're responsible for accepting service of legal process on behalf of the company. That means if a writ or other legal notice is issued by the court in the jurisdiction, it's deemed properly served if it's delivered to the registered agent. This is important because it ensures the company can't simply ignore legal proceedings by claiming it's only subject to the laws of its home country. By appointing a registered agent, the company submits to the authority of the local courts.

Second, the registered agent helps ensure the company complies with local laws and regulations. They're the person – or more often, the firm – on the ground who can be questioned or held accountable if something goes wrong. This is especially important in jurisdictions that want to maintain high standards of corporate governance and transparency.

Now, in practice, the registered agent will almost always be a licensed corporate service provider. These are firms that specialise in company formation and management. They're regulated by the local financial services authority and must meet certain standards to operate. That means they're not just a mailbox – they're professionals who understand the legal and regulatory framework of the jurisdiction.

In some jurisdictions, the term 'authorised representative' is used instead of 'registered agent', but the function is essentially the same. Whether you're dealing with a BVI business company, a Bahamian IBC or a Cayman Islands exempt company, you'll find that the appointment of a registered agent is a statutory requirement.

It's also worth noting that the registered agent is often the subscriber to the memorandum when the company is first incorporated. That's because they're the ones filing the paperwork and setting up the company on behalf of the client. After incorporation, they may continue to act as the company's point of contact, maintaining the registered office and holding statutory records.

So, in summary, while the role of the company secretary may be optional or even obsolete in some offshore centres, the registered agent is very much a fixture. They're the bridge between the company and the jurisdiction, and their presence is essential for legal and regulatory compliance.

Module 10.1:

Who Decides What? Directors and Members in Company Decision-Making

Welcome. It's good to have you here. In this session we'll be discussing the two main power centres involved in company decision-making. First, you've got the board of directors – they're responsible for managing the company's affairs on a day-to-day basis. Then there's the members, or shareholders, who are the owners of the company. Their powers are more strategic and supervisory.

Let's start with the directors. Their role is to run the business – making operational decisions, entering into contracts, managing staff and overseeing the company's finances. These decisions are usually made collectively at board meetings. Each director has one vote, and resolutions are passed by a simple majority, unless the articles of association say otherwise. If all directors agree, they can also pass written resolutions without holding a formal meeting.

But a director's power is limited, and there are certain decisions that only the members can make. These tend to be more structural or constitutional. For example, members approve the company's financial statements, they can declare dividends, appoint and remove directors, and they can also appoint auditors, if required.

Members typically have the power to alter the company's constitution, migrate the company to another jurisdiction, approve mergers and acquisitions, and even wind up the company voluntarily. These decisions are usually made at general meetings – either during the annual general meeting or in an extraordinary general meeting, depending on the nature of the decision. In those centres which have removed the requirement for a company to hold an annual general meeting, all shareholder meetings are referred to as general meetings.

In some offshore jurisdictions, things are a little more flexible. If the company's articles allow it, directors may be authorised to make decisions that would normally be reserved for the members. That includes declaring dividends, appointing directors and even approving constitutional changes. So, it's always important to check the articles before assuming who has the authority to act.

Ultimately, the division of power is designed to balance control and accountability. Directors manage the company, but members typically oversee the big-picture decisions. And when it comes to administering offshore companies, understanding this division is essential. It helps ensure that decisions are made properly, recorded correctly and – most importantly – are legally valid.

Module 10.2:

General Meetings of Shareholders – AGM, EGM and Beyond

Welcome back. Let's talk about general meetings of shareholders. These are a key part of how decisions are made in a company, especially when it comes to matters that go beyond the day-to-day running of the business.

There are two main types of general meeting: the annual general meeting (AGM) and the extraordinary general meeting (EGM). The AGM is where routine business is dealt with. That usually includes reviewing and approving the company's financial statements, declaring dividends, appointing or reappointing directors, and appointing auditors if needed. These are the kinds of decisions that shareholders are expected to make every year.

The EGM, on the other hand, is called when something out of the ordinary needs to be decided. That might be a change to the company's constitution, the approval of a merger or even a resolution to wind up the company. These are big decisions, and they require shareholder approval.

Now, who can call a general meeting?

Typically, the directors have the power to convene one. They do this by passing a board resolution and instructing the secretary or service provider to issue a notice to the shareholders. But shareholders aren't powerless – if at least 10% of the voting members want a meeting (depending on the articles of association), they can request one, and that's often how EGMs are triggered.

The notice of the meeting is important. It must be sent to every member, and if there are members who don't have voting rights, the notice should make it clear that it's for information only. That way, there's no confusion about who can attend and vote.

In offshore jurisdictions, companies often have the option to dispense with the AGM altogether. That's because the business usually conducted at an AGM can be dealt with by written resolutions or informal procedures, especially in companies with a small number of shareholders. In companies which have dispensed with an AGM all shareholder meetings will be referred to as general meetings.

When a general meeting is held, there's a typical format. For private companies there will be a roll call of those in attendance, including proxies. There'll be apologies from those who couldn't attend. The minutes of the previous meeting will be reviewed, and any matters arising will be discussed. Then, the agenda items are addressed, followed by any other business. Finally, the date and time of the next meeting might be set.

If a shareholder can't attend, they can appoint a proxy. That person can attend, speak and vote on their behalf. A proxy might be instructed how to vote or they might be allowed to vote at their discretion. Being able to appoint a proxy can be useful, especially in companies with international shareholders who may not be able to travel.

Now, let's take a look at how decisions are taken by shareholders and the two types of resolution: special and ordinary. A special resolution requires a 'super' majority to be passed, which might be as high as 75%. An ordinary resolution only requires a simple majority. Special resolutions were traditionally required for special business, such as changing the memorandum or articles of association or placing the company into voluntary liquidation. Ordinary resolutions were required for everything else. Under modern company law most matters can be dealt with by an ordinary resolution.

When it comes to voting, a show of hands can be used with one vote given to each person at a general meeting, although proxy holders will not have their votes counted. Voting by a show of hands might be an unfair way for a decision to be taken, as someone with 100 shares will have the same number of votes as someone with one share. There is an alternative approach, which is a vote by poll. This can be demanded by a certain number of the shareholders (usually 15%) and shareholders will receive one vote for each share they hold.

So, to recap, general meetings are a formal way for shareholders to exercise their rights and to make decisions that shape the future of the company. Whether it's the routine business of an AGM or the more significant matters dealt with at an EGM, these meetings are a cornerstone of corporate governance. However, let's not forget that in many offshore centres, shareholders can make decisions via written resolution rather than having to go through the formalities of a meeting, and for many service providers this is the preferred option.

Module 10.3:

Directors' Meetings – How Decisions Are Made

Hello and thanks for joining. In this session we're discussing directors' meetings, which are key to the day-to-day management of a company. While shareholders make the big strategic decisions, it's the directors who handle the operational side – and they do that often through board meetings. Although, as for shareholders, it is usual in offshore centres for directors to make decisions by written resolution.

In most companies, the board acts collectively. That means decisions aren't made by individual directors acting alone – unless the company only has one director, of course. Instead, the board might meet from time to time, discuss any issues at hand and pass a resolution. That resolution becomes the company's decision.

Traditionally, directors meet in person. But, as mentioned, in many offshore companies directors can pass a written resolution without holding a formal meeting. This is especially useful for companies with directors based in different jurisdictions.

There's no fixed rule about how often directors must meet. Some offshore centres used to require at least one meeting a year, but that's largely been dropped. Now, meetings are held as needed – usually when there's a business decision to be made – and the frequency depends on how active the company is.

Any director can call a meeting. There's no need to wait for the chairperson or a majority – as long as proper notice is given, the meeting can go ahead. And when it comes to notice, the rules are usually relaxed. Unlike shareholder meetings, which often require formal written notice, directors' meetings can be called with short notice, even verbally, if that's what the board agrees is reasonable.

An agenda isn't strictly required for a directors' meeting, but it's good practice. If the business to be discussed is complex or needs preparation, circulating an agenda beforehand helps everyone come to the meeting ready to make informed decisions.

At the meeting, each director has one vote. Resolutions are passed by a simple majority of those present and voting, unless the articles state otherwise. Often a written resolution can be used instead as this saves time and avoids the need for a physical or virtual meeting.

So, directors' meetings are flexible, practical and tailored to the needs of the company. They're where the day-to-day work of managing the company happens – from approving contracts and appointing officers to making financial decisions.

Module 10.4:

Written Resolutions – A Practical Alternative to Meetings

Hello again. Today we're going to be talking about written resolutions. If you've worked with offshore companies before, you'll know that formal meetings aren't always the most practical way to make decisions. This is where written resolutions come in.

A written resolution is exactly what it sounds like – instead of holding a meeting, the directors or shareholders agree to a decision in writing. It's signed, dated and recorded – but there's no need to gather everyone in the same room or on the same call.

This approach is especially useful in offshore practice as many companies have directors or shareholders based in different jurisdictions. Coordinating a meeting across time zones can be a logistical headache. Written resolutions solve that problem. If everyone agrees, the decision can be made quickly and efficiently, without the need for a formal meeting.

However, it's important to understand when written resolutions are appropriate. For directors, the general rule is that decisions are likely to be made at a properly convened board meeting. That means giving reasonable notice, ensuring the meeting is 'quorate' (meaning the required number of people are present), discussing the motion and voting on it. But if all directors are in unanimous agreement, a written resolution can be passed instead – it's a streamlined alternative that still carries full legal weight.

For shareholders, written resolutions are also common. They're used to approve matters that would otherwise require a general meeting, like changing the company's name, adopting new articles or approving a director's actions. In companies with a sole shareholder, written resolutions are the norm. There's no need to hold a meeting when one person holds all the voting power.

It's worth noting that when a written resolution is used, a formal minute of a meeting isn't appropriate. Instead, the resolution itself becomes the record of the decision. It should be drafted clearly, signed by the relevant parties and filed with the company's records.

To summarise, then, written resolutions offer a practical, flexible way to make decisions – especially in the offshore context. They save time, reduce administrative burden and allow companies to operate smoothly across borders.

Module 10.5:

Corporate Procedures – Putting Theory into Practice

Welcome back. In this final session of the module we're going to take a moment to discuss corporate procedures. These are the practical steps that help bring company law to life.

Companies will undertake a range of activities, from holding general meetings to changing directors, transferring shares and updating company records. Each of these actions involves a sequence of steps, and understanding those steps is essential for anyone working in offshore company administration. Let's consider some examples of corporate actions.

Take the annual general meeting, for example. Even though many offshore companies choose to waive the AGM, it's still useful to know the traditional process. You'd start by preparing financial statements and, if needed, a directors' report. Then, the board would meet to approve those documents and call the AGM. Notices would be sent out, the AGM held and resolutions passed. Finally, the minutes would be prepared, signed and then filed.

Changing directors is another common procedure. You'd begin by checking the articles to see what's required and whether the change is actioned by the shareholders or the directors. Then you'd obtain the new director's consent, hold a meeting to approve the appointment, update the register of directors, change the corporate stationery, notify agents including the company's bankers, and notify the registrar if necessary. It's a relatively straightforward process, but each step matters.

Share transfers follow a similar pattern. You'd check for any pre-emption rights, receive the transfer form and share certificate, hold a board meeting to approve the transfer, update the registers, and issue a new certificate. Again, it's about knowing the sequence and making sure nothing is missed.

The learning materials provided contain a number of practical examples of corporate actions and procedures – be sure to review these to gain a deeper understanding of the processes involved.

Corporate procedures are more than just paperwork. They're the mechanism through which decisions are implemented, records are maintained and companies stay compliant. And as you continue to work through the course, they'll help you connect legal principles with practical outcomes.

Module 11.1:

The Nature and Types of Service Providers

Hello and thanks for joining. In this session, we're reviewing the world of corporate service providers (or CSPs) – the people and organisations who are involved in company management and administration.

So, what do we mean by 'service providers' in the context of company management? Well, they come in all shapes and sizes. At one end of the spectrum, you've got independent sole practitioners working from a small office, offering corporate services to a handful of clients. At the other end, there are large multinational banks and trust companies. These firms operate across multiple jurisdictions, with hundreds of employees managing the affairs of high-net-worth individuals and institutional clients.

And then there's those in the middle ground, such as law firms and accountancy practices that offer company management services alongside their core business. These firms might not specialise in corporate services, but they provide them as part of a broader offering.

Most trust companies – and especially the international ones – offer company management services alongside trust administration. That's because the two often go hand in hand. If you're managing a trust, the chances are you'll also be managing the underlying company that holds the trust's assets. In the next session, we'll explore the different services that are likely to be offered to clients.

Module 11.2:

What Services Do Corporate Service Providers Offer?

Welcome back. Today we'll be exploring the practical side of offshore company management – specifically, the services typically offered by a corporate service provider.

Now, when we talk about CSPs, we're referring to licensed firms that carry out company management business in and from their jurisdiction. These might be trust companies, banks, law firms, accountancy practices or independent corporate service providers. Regardless of their size or structure, they all play a central role in the administration of offshore companies.

So, what do they actually do?

Let's start with the basics. One of the core services they offer is incorporation. That's the process of forming a company in the chosen jurisdiction. The CSP handles all the paperwork, liaises with the registrar and ensures the company is properly set up according to local legislation.

Closely linked to incorporation is registration and continuance which cover situations where a company is moving jurisdictions or changing its legal status. The CSP ensures the transition is smooth and compliant.

Once the company is up and running, the CSP often provides directors and officers. These might be individuals or corporate entities, depending on the jurisdiction and the client's needs. The CSP ensures that the company has the right governance structure in place.

Another key service offered is the provision of a registered office. This is the official address of the company, used for legal correspondence and statutory filings. In many jurisdictions, it's a legal requirement.

Alongside the registered office, the CSP may also act as the registered agent. This role involves accepting service of legal documents and ensuring the company complies with local laws and regulations.

Then there's the provision of nominee shareholders. These are people or entities who hold shares on behalf of the real, beneficial owner and is a way of maintaining confidentiality while still meeting legal requirements. The nominee shareholder will typically sign a declaration confirming that they're holding the shares on someone else's behalf.

CSPs also take care of corporate records. This includes maintaining the register of members, directors, officers and beneficial owners. They ensure everything is up to date and available for inspection where required.

Statutory filings and secretarial services are another big part of the job. The CSP handles filings with the registrar, prepares resolutions and minutes, and ensures the company meets its ongoing compliance obligations.

And finally, many CSPs offer accounting services for their clients. This might include preparing financial statements, maintaining accounting records and liaising with auditors if needed.

So, in summary, whether it's forming a company, managing its day-to-day affairs or ensuring compliance, CSPs provide a comprehensive suite of services that are essential to the smooth operation of offshore entities.

Module 11.3:

Beneficial Owner Involvement – Risks and Realities

Hello again. In this session we'll discuss the involvement of the beneficial owner in the management of an offshore company. It's a topic that comes up often in practice, and it's one that carries both practical and legal implications.

Let's start with the basics.

The beneficial owner is usually the client – the person who ultimately owns or controls the company, even if they're not listed as a shareholder or director. Naturally, some clients want more than just ownership – they want control. And one way to achieve that control is by being appointed to the board of directors.

On the face of it, that seems reasonable. After all, it's their company. But here's where things get complicated. The moment a beneficial owner becomes a director, they're no longer just a passive investor – they're actively involved in the management and control of the company, and that has consequences.

The biggest issue is tax. A company is generally considered tax resident in the jurisdiction where its central management and control takes place. If the beneficial owner is based in an onshore jurisdiction and starts managing the company from there, the company could become tax resident in that jurisdiction. That means it could be liable to pay corporation tax locally – even if it was incorporated offshore.

So, what's the solution?

One option is to create a split board. The client can be appointed as a director, but only alongside other directors who are resident in the offshore jurisdiction. That way, the client has a voice, but the majority of the board – and therefore the majority of control – remains offshore. It's a compromise that allows client involvement without potentially triggering unwanted tax consequences.

But tax isn't the only concern. There's also confidentiality. Offshore structures are often used to protect privacy and when the beneficial owner becomes a director, their name may appear in public records or regulatory filings. This would undermine the very confidentiality the structure was designed to provide.

However, management and control is not always based on who the directors are and where they are located. It can also be determined by where key decisions are taken and who controls the assets. Therefore, if the beneficial owner is appointed investment manager or given signing powers over the company's bank account, this could trigger a claim that the beneficial owner is managing and controlling the company which could result in the company being liable to tax where the beneficial owner resides.

In short, while it's understandable that a client might want to be involved in managing their company, it's not always advisable. The risks – especially around tax and confidentiality – can outweigh the benefits. That's why it's essential for clients to seek advice from tax professionals in their home jurisdiction before stepping into a management role.

Module 12.1:

Alternatives to Liquidation

Hello, it's good to have you back with us as we turn our attention to liquidation. While liquidation might seem like the natural end point for a struggling company, there are alternatives, though not all of them are particularly relevant in the offshore world.

Let's start with administration. This is a formal insolvency procedure, such as under the English Insolvency Act 1986. It allows an independent insolvency practitioner, known as the administrator, to take control of the company. Their goal is to either rescue the company as a going concern, achieve a better result for creditors than liquidation would or realise assets to pay secured creditors. One of the key benefits of administration is the statutory moratorium which freezes creditor actions, giving the administrator breathing space to reorganise the company.

But there's a catch. Administration is a UK-centric process and it's heavily reliant on court procedures and statutory frameworks that don't translate well to offshore jurisdictions. Offshore companies often operate under different legal systems, and the infrastructure to support administration just isn't there.

Another option is the Company Voluntary Arrangement, or CVA. This is another UK-based mechanism. It's essentially a deal between the company and its creditors. The company proposes a plan – maybe to pay part of the debt or to delay payments – and if 75% of the unsecured creditors agree, the arrangement becomes binding. CVAs are flexible and relatively low cost, which makes them attractive in theory. But again, they're grounded in UK legislation and require a level of creditor coordination that's not always feasible offshore.

Then we have schemes of arrangement under section 901 of the English Companies Act 2006. These are more formal than CVAs and involve court approval and meetings with creditors and shareholders. They're often used by large companies with complex capital structures, sometimes as part of a takeover or a debt-for-equity swap. Schemes can be powerful tools for restructuring, but they're expensive and procedurally heavy. Offshore companies rarely use them because the legal and logistical hurdles are just too high.

So, while these alternatives to liquidation offer valuable options in the UK, their relevance offshore is limited. Offshore jurisdictions tend to favour simpler, more direct approaches – often involving informal restructuring or negotiated settlements outside of court. The lack of statutory equivalents and the practical challenges of coordinating creditors across borders mean that these UK procedures don't often apply.

This is why, in the offshore context, liquidation remains the most common route when a company reaches the end of its life. It's straightforward, predictable and supported by the legal frameworks in most offshore jurisdictions.

Module 12.2:

Compulsory Winding-Up

Welcome back. In this session we're exploring compulsory winding-up – a formal process that brings a company to an end through a court order. It's one of the most serious steps in company law and usually happens when a company can't pay its debts or has acted unlawfully.

So, what exactly is compulsory winding-up?

It's a court-driven procedure where a petition is presented, often by a creditor, to wind up the company. The most common ground for winding-up is insolvency, meaning the company can't pay its debts as they fall due. But there are other grounds too, like if the company hasn't started business within a year or if it's just and equitable to wind it up – say, because of a breakdown in relationships among shareholders.

Once the petition is filed, the court reviews the case. If it agrees, it issues a winding-up order. That's when things get serious. The company's assets are frozen and a liquidator is appointed to take control. From this point, the directors lose their powers and the liquidator steps in to manage the company's affairs.

The liquidator's job is to gather and sell the company's assets, then distribute the proceeds to creditors. But there's a strict order to how that money is paid out. First come the secured creditors – those with fixed charges over assets like property or machinery. They're paid from the proceeds of those specific assets.

Next are the preferential creditors. These usually include certain employee claims, like unpaid wages and holiday pay, up to a statutory limit. After that, we move to floating charge holders, who have security over assets like stock or receivables. Their claims are paid from whatever is left after preferential creditors are sorted.

Then we get to the unsecured creditors – suppliers, landlords and others who don't have any security. They're paid on what's known as a *pari passu* basis, meaning they share equally in whatever remains.

Throughout the process, the liquidator must report to the court and keep creditors informed. It's a transparent system, but it can be slow and costly, and that's why compulsory winding-up is often seen as a last resort.

In offshore jurisdictions, the process is broadly similar, though the terminology and procedures may vary slightly. The principle remains the same: it's a court-led process designed to protect creditors and ensure fair distribution of assets.

To summarise what we've learnt: in short, compulsory winding-up is a powerful tool in company law, but one that comes with serious consequences for everyone involved.

Module 12.3:

Reinstatement of Liquidated Companies

Hello and welcome to this session where we will be discussing the reinstatement of liquidated companies.

But first, what does reinstatement actually mean in this context?

Well, it's the process by which a company that has been dissolved following liquidation is then restored to the register. In other words, the company is brought back to legal life. This doesn't happen automatically, and it's not something that's done lightly – there has to be a good reason for it.

One of the most common reasons for reinstatement is that assets have been discovered after the company was dissolved. Maybe a property wasn't properly dealt with or a bank account was overlooked. But if the company no longer exists, it can't own or transfer those assets and so reinstatement becomes necessary to sort things out properly.

The process usually starts with an application to the court or the relevant corporate registry, depending on the jurisdiction. In many cases, it's the liquidator who applies, but it could also be a creditor, a shareholder or even a third party with an interest in the company's affairs. The applicant needs to show that reinstatement is just and equitable, and that it's necessary to achieve a fair outcome.

Once the company is reinstated, it's treated as if it had never been dissolved. That means it regains its legal personality and can deal with the assets or liabilities that prompted the reinstatement in the first place. However, it doesn't mean the company goes back to trading. It's usually reinstated for a specific purpose, like transferring property or resolving a legal claim.

In offshore jurisdictions, the rules around reinstatement can vary. Some places have streamlined procedures, especially where the company was struck off for administrative reasons rather than formal liquidation, whereas others require a full court process, which can be time-consuming and expensive. That's why it's important to act quickly if you discover assets after dissolution as delays can make reinstatement more complicated.

It's also worth noting that reinstatement doesn't undo the liquidation itself. The company isn't revived to carry on business – it's only brought back temporarily to deal with unfinished matters. Once those are resolved, it may be dissolved again, this time with everything properly accounted for.

So, while reinstatement is rare, it's a useful tool in company law that ensures assets aren't lost and that legal obligations can still be met, even after a company has been wound up.

Module 12.4:

Voluntary Winding-Up

Welcome back. This time we're talking about voluntary winding-up – a process that allows a company to close down in an orderly way, without needing a court order.

Voluntary winding-up happens when the members or creditors of a company decide it's time to bring things to an end. There are two types: members' voluntary winding-up and creditors' voluntary winding-up. The difference depends on whether the company is solvent or insolvent.

Let's start with the members' voluntary winding-up. This is used when the company can pay all its debts in full, usually within 12 months. The directors must make a statutory declaration of solvency, confirming that the company is in a position to settle its liabilities. Once that's done, the members pass a special resolution to wind up the company, and a liquidator is appointed to take control.

The liquidator's role is to collect and sell the company's assets, pay off any debts, and then distribute the remaining funds to the shareholders. It's a relatively straightforward process and, because the company is solvent, it tends to be quicker and less contentious.

However, if the company is insolvent, we're dealing with a creditors' voluntary winding-up. In this case, the directors can't make a declaration of solvency. The members still pass a resolution to wind up the company, but the creditors take a more active role. They meet shortly after the resolution is passed and have the right to nominate a liquidator. If their choice differs from that of the members, the creditors' nominee usually takes precedence.

Once appointed, the liquidator begins the process of realising the company's assets and distributing the proceeds. The order of payment follows the usual insolvency hierarchy – secured creditors first, then preferential creditors, followed by unsecured creditors. If anything is left, it goes to the shareholders, though that's rare in an insolvent winding-up.

Throughout the process, the liquidator must report to both the members and the creditors, depending on the type of winding-up. They also must file regular updates with the registrar, ensuring transparency and accountability.

So, in summary, voluntary winding-up lets a company close in an orderly way, with members taking the lead if it's solvent and creditors stepping in if it's insolvent. Voluntary winding up is the preferred route when terminating a solvent company.

Module 12.5:

Striking Off

Hello and welcome to this final session of this module where we'll be looking at striking off – a process that removes a company from the register, effectively bringing its legal existence to an end. It's a simpler and less formal alternative to liquidation, but it comes with its own set of rules and consequences.

There are two types of strike-off: voluntary and compulsory. Voluntary strike-off is initiated by the company itself and is usually used when the company is no longer trading, has no assets or liabilities, and the directors want to close it down without going through liquidation. The company applies to the registrar, confirming that it meets the conditions, and if there are no objections, it's struck off after a short notice period.

Compulsory strike-off, on the other hand, is initiated by the registrar. This usually happens when a company fails to meet its statutory obligations – like not filing annual returns or accounts. The registrar sends warning notices, and if the company doesn't respond, it's struck off the register. It's an administrative process, not a court-driven one, but it still results in the company being dissolved.

But what happens if a company owns assets when it's struck off?

The answer is that those assets don't just disappear – they become what's called bona vacantia. That means they belong to the Crown, or to the relevant government authority in offshore jurisdictions. This can include bank accounts, property or even shares. Recovering those assets isn't straightforward, and it usually requires reinstating the company.

As we saw with liquidated companies, reinstatement is the process of restoring a struck-off company to the register and can be done by court order or, in some cases, administratively. The applicant – often a former director, shareholder or creditor – needs to show that reinstatement is necessary, usually because of outstanding assets or unresolved liabilities. Once reinstated, the company is treated as if it had never been struck off, allowing it to deal with those assets properly.

It's important to note that reinstatement doesn't mean the company goes back to trading. It's usually a temporary revival to sort out specific issues. After that, the company may be dissolved again, this time with everything properly accounted for.

So, while striking off is a useful tool for closing dormant companies, it needs to be handled carefully. If assets are overlooked, it can lead to complications that require legal action and additional costs. That's why directors should always carry out a thorough review before applying for voluntary strike-off, and why regulators take compulsory strike-off seriously when companies fail to comply.